FASE: Stablecoin Policy — a Global Outlook

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Rule	Chatham House Rule. Information may be used without revealing the identity or affiliation of speakers or other participants, directly or indirectly.

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Agreements

The following sentences stand on their own. These are candidate agreements and reported points of convergence for working-group review. Inclusion does not establish consensus, verify a technical claim, or record formal adoption. The working group must confirm each decision before it is cited as such. Claims that were only discussed, including figures and alternatives that were not adopted, remain in full under Discussion.

Absolute stablecoin transfer volumes are large, and their share of global payments is still negligible. Sizing that gap was treated as a useful corrective.

The industry's working design is a reserve-backed claim, redeemable by verified clients, with everyone else relying on a secondary-market peg. Crypto-collateral, algorithmic, and tokenized-deposit designs are different instruments and have different failure modes.

Two issuers account for about 85 percent of supply. That concentration is a live risk, and the market has continued to use both at scale. Circle's relative gain was associated with regulated distribution.

Retail payment use lags the narrative. Gas, cross-chain fragmentation, merchant acceptance, and an FX leg back to card networks are the practical frictions. A common use is parking value between other transactions. Some reported "real economy" use is tax or capital-control arbitrage followed by conversion back to fiat.

Issuer revenue is reserve income. That funds the business and is also the way an issuer can endanger holders. Scale is a barrier to new issuers.

After a long lightly regulated period, issuer regimes are now arriving in a bunch. GENIUS is on a path toward effectiveness on 18 January 2027 if rules finish, and that date was met with skepticism. The Clarity Act was treated as stalled.

Yield is the central competitive and political question. Tokenized money-market funds and, in Europe, rewards apps are the current ways around an issuer-level ban.

Peg failures come apart into design, bank, venue, and key. Terra, the SVB-era USDC episode, a venue flash-crash, circular self-reserves, and stolen keys were all treated as real precedents. Large issuers are safer than they were and are not safe absolutely.

The working paper is close to publication and is already behind events: data end about five months before the meeting, and GENIUS has slowed, so MiCA 2.0 was the right object for this workshop.

MiCA, VARA, and the US approach share a safeguard core: reserve limits on rehypothecation, audit and disclosure, segregation, redemption and liquidity, and no interest to holders. They differ in who supervises, whether the aim is protective or also strategic, who may issue, and whether the rulebook is a single passport, a new emirate book, or federal-plus-state.

USDC's designation as the first significant e-money token, two days before the session, moves Circle from French supervision alone to Union-level supervision. Deposit tokens sit outside MiCA and are heading toward banking law.

There is no European resolution on yield. Extending the ban to rewards would remove the grey-zone rates now advertised well above bank deposit rates, and would favor licensed banks, large issuers, and the European agencies, at the expense of smaller platforms.

If the US later allows interest and Europe widens the ban, dollar stablecoins gain a currency-competition advantage. The room treated that as an open strategic fact, not as a BGIN recommendation.

AML is, anecdotally, the most painful ongoing compliance cost, including per-user screening before any revenue and continuous monitoring that often does not work.

The next research that would help operators is cross-border recognition and passporting, a shared run scenario, a rule for coins with no issuer, and a cleaner treatment of circular stablecoin reserves. Geoeconomics and agent payments were agreed to be serious additional topics.

A Discourse write-up should follow once notes and slides are in. The workstream keeps the topic through the next block.

Documents considered

The session referred to the following documents, repositories, and standards. Bibliographic identifications and factual checks added during review are marked as editorial clarifications; they do not imply that the links were spoken or that the meeting adopted the findings. Names of the people who introduced the material are omitted.

Overview slides, offered for distribution, including the regime map that was not shown and the safeguard comparison.

Working draft of the stablecoin policy paper, shown on screen. History, MiCA, VARA, and GENIUS. Data vintage about five months before the meeting.

Instruments discussed as subjects: MiCA and the MiCA review consultation (opened in May, closed

about two weeks before the session); the GENIUS Act; the Clarity Act, described as stalled; VARA; Treasury issuance proposals including a foreign-issuer safe harbor; the Kansas City Fed breakdown of yield-bearing, idle, and payments balances.

No Zoom links. The caption does not show a Google Docs address in this slice. The draft was screen-shared.

Discussion

The following is the substance of the session. It preserves claims, figures, alternatives, and objections. Discussion does not establish a decision. Any candidate agreement requires explicit working-group confirmation.

The room was small, cold, and still recording, with a few people online as well as in the room. Parallel working groups were competing for the same people. One observation was that these meeting days would have held attention better as a single track across three days.

The session was organized in three parts: an overview of how stablecoins developed, how they work, and how their flows compare with global payments; a walkthrough of a BGIN working paper on stablecoin policy, then MiCA 2.0 in detail; and open questions plus candidate directions for the next papers. Slides from the overview were offered for later distribution.

Market size and concentration. The overview framed stablecoins as large inside crypto and still tiny against the global system. The spoken supply figure was garbled ("3.303 billion"); later figures in the same session (about $183 billion for the dominant dollar token, and an 85 percent share for two issuers) imply a global supply on the order of a few hundred billion dollars, so the transcript digits are [unverified]. The slide's other headline numbers were stated more clearly: about 85 percent of supply from Circle and Tether; about $10.2 trillion moved in a single year; on the order of 60 million monthly active addresses, with no reliable split between addresses and people. Rounded into global payments, the share was described as effectively zero; a later slide was read as about 0.002 percent of all payments [unverified exact digits]. The global financial stock was described in quadrillions. The point of the comparison was that the industry can move trillions a year and still be small enough that its disappearance would barely register in global payments.

A claim that about 84 percent of identified illicit crypto volume runs through stablecoins was previewed and then returned to later. It was tied to a broader remark, attributed to a conference comment years ago, that most laundering still sits in traditional finance (a "about 70 percent" figure was spoken and is [unverified]). The same 84 percent was later treated as a floor on identified illicit volume, not a ceiling. Skepticism was explicit: illicit flows are hidden, analytics are improving with AI, the true share might be higher, and the figure might be mixing in bitcoin. A figure from the previous day's AI discussion, "in the billions," was treated as material against trillions of stablecoin payments. Stablecoins were described as the rail most used to pay for illicit use of hosted and open models and of products abstracted from them.

How a peg is held. Four designs were distinguished.

Reserve-backed: cash or equivalent in an account, an audit, and supply matched to reserves.

Crypto-collateralized: the example was DAI-style overcollateralization, spoken as roughly 1.3 to 1.5 times, with risk if the collateral market cannot be sold or if a collateral stablecoin breaks.

Synthetic or algorithmic: Terra/Luna as the case that pushed this design out of use.

Tokenized deposits, and an older habit of calling any claim on a stable asset a stablecoin, including real-estate references. That wider "real-world asset" usage was described as having narrowed.

Only verified clients redeem with the issuer. Everyone else relies on the secondary-market window to hold the peg. Direct one-for-one USDC purchase from Circle by order was described as having been available for a long time. Issuers still have to earn reserve income to pay for an increasingly expensive operation. Tether was described as holding a buffer above $1 billion and as having on the order of a fifth of reserves in gold, bitcoin, and loans. A view flagged in the room as personal opinion was that historical questions about liquidity and audits are hard to settle, and that a failure of the largest issuer would break the industry. Two issuers holding about 85 percent of supply, with a large share associated with Tron (described as having grown out of Tether's move off Bitcoin, and as functioning like a stablecoin chain), was called a supply-centralization risk that the market has accepted. Circle's share was described as having gained on Tether recently, attributed to easier access to regulated venues.

Supply was described as having grown sharply over about six years, peaked around May 2026, and then slipped about 6 percent, with the Clarity Act's stall, the GENIUS Act, and the yield fight offered as reasons. Early designs that paid yield merely for holding were contrasted with the current ban on yield for payment stablecoins. Mountain Protocol was cited as a yield-like attempt that ran out of capital, became effectively defunct, and ended up with Anchorage.

Rules arriving together. A 13-year timeline was used to show a long unregulated stretch and then a pile-up of rules, especially in the United States. Legal cost was described as heavy even for Circle and as a barrier for smaller issuers. The GENIUS Act was described as clarifying who may issue, while also routing a good deal of issuance through non-banks, so that few traditional firms are visibly applying without large capital.

Payments incumbents. Payments firms and banks that issue or build chains were described as joining a stack in which crypto-native issuers, rather than regulators, hold much of the voice. Institutionalization was described as proceeding with the crypto side inside the narrative, alongside a shift in which centralized finance has gained relative to decentralized finance. Mastercard and Visa's involvement was left open as threat, interest, or a hedge: a long period of venture investment, including stakes in local payments businesses, was characterized as buying options and, at the same time, as the legitimacy the industry needed. Keeping track of each stablecoin pilot was described as difficult. Many incumbent experiments were characterized as "this is coming, try it," including T+0 settlement. A counter-view was that traditional markets do not want continuous instant settlement, because they need a pause and because they profit from today's frictions, so they are in no hurry to disintermediate themselves and are also reluctant to own the new rail. Visa and Western Union were described as concluding that if they do not eat their own lunch, someone else will, while remaining critical infrastructure that still has to exist.

Retail crypto payment was described as still clumsy. Card networks and QR codes were compared: QR scaled in China because cards were absent, mobiles were universal, and a vendor could print a code; the West is tied to card programs; QR can be spoofed; tap-to-pay is easy. Merchants resent interchange, banks are the ones who profit, and interchange rules differ by country, so merchants would take another rail if they could. Acceptance fails in a supply chain: a merchant who is paid in a coin still has to convert if suppliers will not take it, and the intermediaries and operational burden (keys, ledger) remove the appeal. Personal trials of paying with bitcoin were described as clunky; base-layer bitcoin was recalled as taking about ten minutes to authorize; Lightning was described as working in some places and not as a general retail rail. A US gift-card style path was described in which a customer can pay at an ordinary merchant, including a fast-casual chain, while the clerk and the merchant never see crypto, because a service completes the transfers. Crypto-funded Visa or debit cards were described the same way: the merchant receives local currency, and the issuer does the foreign-exchange leg. The end state was summarized as still being the card networks plus a rapid exchange.

Additional frictions: gas fees, and no guaranteed interoperability across base layers (an Ethereum USDC balance does not pay a merchant who accepts USDC on another chain; Japan was given as a case). Brazil was offered as a place where stablecoin use was reported to be driven by avoiding a financial-transaction tax on fiat transfers, with conversion back to local currency and little need to spend the stablecoin inside the domestic economy. Real-world payment use was called still far behind the narrative. An older exchange idea, paying recurring bills from crypto because a payments-industry survey said a large share of holders wanted to pay with crypto, was contrasted with minuscule actual payment volume. The working description of stablecoins was a place to park value between other trades, not the payment instrument of choice. Yield on that parked balance was called the desired future and politically blocked.

Issuer economics and the licensing map. Revenue is mainly reserve income. That income pays finance, legal, operations, and treasury, and it is also the channel through which an issuer can put users at risk if reserves are stretched. Scale is a network effect: without assets there are no users, and without users there are no assets, so a new issuer faces a high bar. A slide of issuer regimes was described as covering on the order of twelve major jurisdictions in force, with Brazil among a smaller set, plus statuses for adopted-but-not-yet-applied, in consultation, and not assessed or absent. A world map of upcoming regimes was prepared and not shown. The effect of regimes on market cap was flagged as a statistic worth having. "Seven instruments to watch" were described as adopted or in force, with one consultation said to close the day of the session [the list itself was not read into the caption].

United States timing. GENIUS was described as enacted in 2025 and as taking effect by 18 January 2027 once rules are finalized. The timetable was questioned. The Clarity Act was described as having stalled after looking, for a time, like the larger prize; what remains was described as a stablecoin-issuer regime likely to favor incumbents such as Circle, with doubt that another US issuer is clearly succeeding. Growth since GENIUS was called significant and was not on the slide. Yield was called still necessary. Direct access to the Federal Reserve for Circle was treated as something the issuer would want and the Fed would be unlikely to grant. The Fed's recent operational changes, including in bank supervision, and a pro-crypto posture of the current government, were noted. A

Treasury-related figure was described as having previously banked Tether in the United States; the firm name was garbled [unverified].

The political fight was stated as banks versus crypto over paying yield or interest. One view was that some compensation for the time value of money will appear anyway. The gap named in the room: bank-regulated stablecoins cannot pay interest, while tokenized money-market funds can perform the same function and, if transferable enough for payments, could dominate. Stablecoin issuers were described as having a weak incentive to fight the yield ban, because the ban lets them keep the Treasury-bill spread (the illustration was: take a dollar, buy bills yielding about 4 percent, pay the holder nothing, keep the 4 percent, and deliver a minted claim). Sitting reserves at the Fed was discussed as buying asset safety rather than a few basis points, relative to reserve assets that can fail. Narrow banking — a firm that only holds reserves at the Fed and passes the interest through — was described as an attempt to remove the intermediary, and as politically opposed. The room's own objection to that model was mild.

Four ways a peg breaks. The slide's four channels were design, the bank, the venue, and the key.

Design: Terra/Luna, mint-and-burn, a large fall in the algorithmic dollar. A residual Terra claim may still trade with little backing. The failure was described as an exploit of the buy, sell, and burn function over time.

Bank: USDC was treated as the industry's stability benchmark until SVB and other banks. The caption's "collapsed to 13 percent" is ambiguous (a move of about thirteen cents versus a price of thirteen cents) and is [unverified]. The episode was used to explain why an issuer might give up a few basis points of yield in exchange for a direct Fed account.

Venue: a dollar token whose order book dried up, described as closer to a flash crash that reversed, with a backer unable to refill fast enough. Holders who did not sell USDC or USDe were described as having been all right. The backing organization's name was not remembered.

Key and circular reserves: Mountain Protocol again, as a design that worked until legal cost exhausted its capital, then a move to Anchorage. A separate "double reserve" case was described in which a bitcoin-linked product and a dollar product reserved each other, and the structure failed once the circularity was recognized. A bitcoin-linked product may still exist; the US dollar product was thought not to. Since October 2025, failures among a large design population were attributed to synthetic designs and to stolen minting or admin keys, in a market that is still experimenting. The largest issuers were described as less exposed over the last two or three years because of regulation and security practice, and as still able to break.

Algorithmic designs were not expected to return until internal governance can carry them. One research speculation was that AI treasury management could eventually revive them: simulate a very small treasury under repeated attack, and look for gaps, because a linear mint/burn rule cannot track supply. Forecasting and dynamic economics were called prerequisites, and the research was called expensive relative to a toy treasury. The opposing view was that there is no credible scenario in which people trust an algorithmic stablecoin again, tempered by the short memory of financial markets.

Tokenized deposits versus stablecoins. The split of future business between stablecoins and tokenized deposits was called unclear. Corporate treasurers were described as unwilling to hold an instrument that oscillates around par. A tokenized deposit clears at par if the bank does not fail, which pushes the question onto trust in the banking system and onto whether banks build a clearing house. The analogy offered was a check: an instruction to the bank that the recipient can transfer or deposit. If that plumbing works, tokenized deposits were said to dominate stablecoins because they remove the basis-point residual. Timing was unknown.

Standards converge on the risk and diverge on the remedy. BIS, the FSB, the IMF, and the usual toolkit papers were described as agreeing that there is a risk and not agreeing a remedy. A single standard was not expected. A remark from earlier the same day was carried forward: regulating stablecoins is regulating payments, and the industry may be over-regulated while the product is still changing every year. A Mastercard arrangement with a bank for agent-style payments was mentioned, with a garbled coin name [unverified]. One suggested frame was to regulate payments as such, so the same rules cover traditional payments and stablecoins.

The working paper. The paper, worked on for several months and described as about two or three weeks from publication after final comments, was summarized. Its aims were history, a comparison of two major regions, GENIUS, and a forward look. The data cutoff was just after the previous block, about five months before this meeting, so the draft does not include the latest five months. A working draft was shown briefly.

Three historical lessons were walked as "watch, then contain, then compete.".

Up to about 2018: early bitcoin through the effects of ICOs and early coins on cards, with rules aimed at AML and tax. Lesson stated in the room: wait, while reserves and governance grow with little supervision.

About 2019–2022: Libra / Facebook Diem backlash, "DeFi summer," then Terra/Luna, Celsius, and FTX as three black-swan events in one year. Lesson stated in the room: issuer-level rules on reserves, segregation, and redemption, because issuers had been trusted too far. Japan's localized-custody approach was singled out: Japan was described as the only country essentially untouched by the FTX crash and as little touched by Terra.

After the shock: a realignment that still treats those failures as memorable.

On FTX, the US picture was stated carefully. Customers of the US-regulated subsidiary were described, on the account given in the room, as ring-fenced and largely unharmed, though assets may have been frozen for a time. The US entity was associated with an earlier US venue (the name was uncertain in the room). Customers who used FTX's international operations were described as caught in the failure. The CFTC account, as relayed, was that the US-regulated book was segregated from the offshore book. The room did not claim a precise repayment timeline.

The paper's two axes were: when the rule was written, and whether it targets the issuer or the system. The paper was framed as setting reactive-era stablecoin policy against forward-looking policy designed in a post-crisis, more institutional period. It sets the first two comprehensive crypto regimes, MiCA

and Dubai's VARA, against the GENIUS Act. GENIUS was described as not comprehensive in the way MiCA and VARA are, and as globally important because it is the US framework. Because GENIUS has stalled since the research was done, the workshop led with MiCA 2.0, which may matter more if the US stalemate on stablecoins continues.

A further frame, deliberately not developed as dollar-hegemony analysis, was that the United States has reasons beyond consumer protection and market integrity: reserve-currency status and a heavier debt burden, so an incentive to keep demand for dollars. Stablecoins were described as opening a path to that demand. An earlier draft, from roughly March or April, was described as having under-weighted the geopolitics. Regulating stablecoin payments, rather than crypto in general, was described as the politically easier move because of dollarization and flows into the dollar. Tether's lobbying was summarized as: on the order of $100 billion in Treasury bills, a claim of interest saved for the Treasury, a eurodollar analogy, and the prospect of pulling other countries onto the dollar.

GENIUS was described as offering operators a choice among a large number of regulators (spoken as fifty-five). Much of the flow was described as heading toward a New York State license, which one view called the strongest stablecoin license available; another view declined to rank licenses and noted that Coinbase and Circle use the New York State license. Above a size threshold the choice becomes federal, among the OCC, the Fed, the NCUA, at least one other regulator the room did not name, and a possible SEC path if the instrument is a security. The OCC was guessed to be attractive because it already deals with new banks and non-banks, and because applicants look for the regulator most likely to accommodate them.

A comparison slide was treated as the core of the paper. Five safeguards were described as shared: no rehypothecation of reserves (the caption said "no republication"), third-party audits and disclosures, reserve segregation, redemption and liquidity, and no interest to holders. The regimes cover those areas and then diverge on further levers.

Architecture and purpose were contrasted as follows.

Supervisor: EU supranational coordination, with the EBA in the MiCA picture; Dubai as one regulator in one emirate, which simplifies that emirate and complicates the UAE as a whole; the United States as a late federal-plus-state model.

Purpose: MiCA protective and inward-facing; VARA protective and outward-facing; the US approach protective plus strategic and geopolitical.

Who may issue: a US payments path associated with the OCC and non-banks; VARA as licensing a wide issuer set; MiCA as requiring a credit institution or an e-money institution.

Passporting and the rulebook: MiCA as one book for 27 states; VARA as a book being written from scratch over many years; the United States as accommodating existing state regimes, including New York and Wyoming.

Events since a 25 March drop of the draft were used to test the paper's open questions.

Tether and the US perimeter: the earlier question was whether Tether would operate inside the US perimeter. The update was a separate US token, issued with Anchorage, discussed as continuous with

the Mountain Protocol line. Outstanding amount was given as about $175 million on 31 July, against about $183 billion of the main dollar token. The caption's remark on whether the US token "has performed well" is unclear and is [unverified].

GENIUS implementation: earlier expected to be ahead; now an OCC proposal dated 2 March, with an end-of-October expectation spoken in the room, and legal effect aimed at 18 January. Skepticism about that date was repeated.

Yield: expected to reappear outside the issuer, as a wrapper, republication, or derivative of a regulated token. A mid-September rewards development around the stalled Clarity effort was mentioned and was garbled [unverified].

Cross-border reach: previously limited extraterritorial reach; now Treasury issuance proposals that include a foreign-issuer safe harbor.

Systemic caps and related tests: a temporary cap spoken as about $40 billion or GBP 40 billion per systemic coin, a gilts figure, and a scaling band up toward a high share of systemic issuance were all garbled [unverified]. Market size was said to have increased only marginally.

The paper closes on five open questions, which the overview listed before handing to the MiCA presentation: the yield boundary, and whether yield reappears on platforms once issuers cannot pay it; competition and incumbents, and how the interest ban shapes banks versus crypto-native issuers; cross-border coordination, global coins, charter regimes, and recognition, still unfulfilled; run readiness, including what happens when a coin with tens of billions faces a run; and decentralized models, where issuer-centric rules meet a coin with no single issuer, such as DAI, possibly backed by regulated tokens.

MiCA 2.0. Europe was described as a thicket of bodies, comparable to the US agency spread. The European Commission is leading the MiCA review, with a deadline of 30 June next year to report and to make any relevant proposals. EU-wide bodies and national authorities are in the review to varying degrees. In European terms the relevant instrument is an e-money token. There are no authorized asset-referenced tokens. Deposit tokens and tokenized deposits sit outside MiCA. An e-money token can be designated significant, which lifts supervision from the national authority to the EU level. The room was told that this had just happened, two days before the session, for USDC, the first significant stablecoin: from the following month, Circle's supervision is not only the French license but Union-wide.

The MiCA review consultation opened in May and closed about two weeks before the session. Next, the Commission works through responses to its deadline, then any legislative reform is negotiated, and it has to line up with broader payments reforms. The earliest in-force date imagined for new rules was 2028, reflecting a slow EU legislative cycle.

Five issues were presented as the top of the review for stablecoins.

Yield remains contentious. Authorities are keen to keep the ban. Some want to extend it to rewards. Apps and platforms currently sit in a grey area. Expanding the perimeter would make MiCA stricter and would move away from the industry request to compete with banks by offering yield. No resolution was described as in sight.

Reserve rules: industry wants more flexibility; some agencies are open to it; it is contentious.

Global stablecoins and multi-issuance: a token issued both inside and outside the EU, and how the geographic perimeter should work. This was described as a high-level fight in the submissions. The Commission's current reading was said to be that multi-issuance is not prohibited. The European Systemic Risk Board was said to want that gap closed, or strict safeguards if it stays open. The EBA was also said to have proposed a regime.

DeFi: described as one of the more emotional subjects in crypto regulation, already examined by IOSCO, and now expected to be addressed in MiCA 2.0.

Deposit tokens versus stablecoins: a number of European banks want to launch deposit tokens. The tension is incumbents versus crypto-native firms. Deposit tokens were described as likely to stay under banking law, with definitional technicalities still open.

Public-sector positions were described as split. The Commission, which leads the review, was characterized as willing to relax the yield ban. Central banks and the EBA were characterized as wanting the ban kept, and central banks as wanting it widened. On the deposit floor (the share that must sit as bank deposits), central banks were described as willing to drop it in favor of liquidity requirements, and the EBA as wanting it kept until there is more analysis. The EBA was called the most conservative pole and the Commission the most progressive, with other agencies between them.

Private-sector positions: more flexible reserves, and the correct regime for each product. The Hyperliquid Policy Center was cited on derivatives, arguing to keep derivatives under MiFID. A petition from retail users asked for yield.

What a wider ban would do to business models. Banning yield and also banning rewards was described as a direct hit on European app models. Examples given, with names that the caption did not render reliably [unverified]: an app with a whitelist running for over a year, now moving users in, offering about 6 percent; a French firm offering roughly 5 to 6 percent on euro cash, said to source much of that via real-world assets and to bank out of Estonia; a firm operating from the Comoros, not EU-licensed, onboarding European residents by paying "rewards" rather than interest, cashable only by spending on its card and not by withdrawal to a bank. Those rates were set against European neobanks at up to about 1.5 percent, and only on a paid premium tier, and against about 2.5 percent on brokerage cash. If MiCA 2.0 extends the yield ban to rewards, that premium disappears. Euro stablecoins would then have to earn their place as payment and settlement tools. The incentive described was either to move into bank deposits or deposit tokens, which was called a win for the banks and which carries a deposit guarantee of EUR 100,000 per account, or to go further on-chain. A banking license was called uneconomic for a model whose yield is a real-world-asset spread. The expectation in the room was that today's grey-zone models would collapse, with a possible consumer-protection justification for raising the bar.

Winners and losers were presented as a matter of perspective. A sophisticated user who wants yield and believes they understand the risk loses the platform and may go deeper on-chain; some intermediated crypto platforms were expected to exit because the license does not pay. A less sophisticated retail user might be better off in a deposit with insurance and a lower return. Banks and other incumbents who already hold licenses and can absorb compliance cost were classed as winners. Large licensed exchanges

and issuers were expected to manage, especially if issuers such as Circle obtain more flexible reserve rules. Smaller platforms still building a user base were classed as likely losers. The ECB and other European agencies were also classed as winners.

Context that was explicitly not in the paper: a top-down European program to tokenize assets and settle them, including examples such as carbon tokens, with substantial EU-level effort, aimed at market function. That direction was described as aligning with a pro-tokenization policy managed in a classical top-down way, as distinct from a startup-led path. It was called a win for the current European governmental vision.

Currency competition if yield stays banned. If rewards are banned and yield stays banned, euro stablecoins become less useful as savings and remain useful for payment and settlement because of the cost advantage of stablecoins in global payments. Figures from the Federal Reserve Bank of Kansas City were used as a non-European proxy: on the order of a tenth of stablecoins in active yield-bearing strategies, about a third idle in wallets, and the rest used for payments and liquidity. The suggestion was that the portion used for payments, illustrated as about 60 percent, would stay, and that the 10 to 40 percent sitting for yield or sitting idle might leave for traditional yield. That was offered as a possible blow to holdings, and as an open question for competition between EU stablecoins and dollar stablecoins. If the United States, motivated to support dollar demand, allows interest, and Europe widens its ban, the US instruments would be in a stronger competitive position. MiCA 2.0, on the path described, was said to confirm the paper's forward issues and to add currency-competition consequences. The presentation stopped at the end of the hour.

Where the rules bite, and what to study next. The overview returned to practical questions: where intermediaries find the rules hardest; which obligations cost most (reserves, redemption and disclosures, or AML); where one coin meets conflicting cross-border rules; where regulation should stop; and where passporting could work. The technology was described as capable of something like continuous global markets, while regulation stops at borders. The organizational question was how BGIN can help issuers operate across borders.

The least workable jurisdiction on that navigation question was, reluctantly, named as the UAE: emirate-level plus federal compliance was described as confusing for private firms and as tripping up stablecoin-adjacent models. The EU was described as clearer to navigate.

On cost, there was no quantitative study in the room. The intuitive answer was AML, because it is the recurring complaint at industry events, with some hope of reform and no hard data. An anecdote from a large Australian AML/KYC firm: checks from about $2 for a minimum safe-harbor review to about $18 per person before the user has spent anything; the cost is continuous; a single sanctioned or listed person is a failure; crypto transaction monitoring was more expensive still and often failed because underlying data and queries were costly and stale. Firms were described as building calculators for the KYC/AML cost of onboarding, so that compliance, not only marketing, dominated acquisition cost, before legal opinions, government filings, and counsel. The cost was expected to rise as the tooling gets more capable. AI was hoped for as a mitigator. The examination standard was still described as "how well did you know this customer," with court and criminal exposure if the answer is weak.

A closing concern: stablecoin issuers are becoming critical infrastructure, and if reserve income is their only profit they will put users at risk. Over-collateralization was called sound and was also called irrelevant to profitability. The unresolved line was how profitable they can be while remaining cheaper than existing payout networks.

Four paper topics were then named, and two more were added in discussion.

Yield boundary: where payment coins stop and yield products begin, and which ministry or government should draw the line.

Recognition: how a coin issued under two regimes is recognized, redeemed, and supervised. Passporting was called the highest-interest item, because solving it early would preserve continuous, borderless markets.

Run readiness: a common redemption stress scenario for a reserve-backed stablecoin.

Beyond the issuer: how obligations reach coins with no single issuer or with synthetic backing, including DeFi tokens and DAI; how they get legal recognition without being fully closed in; how observation improves. Reserves that are themselves other stablecoins were called a circular and unhealthy loop.

Geoeconomic implications: the role of stablecoins if the macro environment and the payments landscape stay uncertain, including second- and third-round effects. This was also stated as a paper on geopolitical impact that governments are unlikely to acknowledge and that Tether-style Treasury-bill lobbying already makes obvious.

Stablecoins as a payment tool for agents, carried over from the previous block: an analysis of opportunities and threats as payments, technology, and finance change together.

The stablecoin topic was described as something the workstream will keep for the life of the industry. A Discourse post was promised once materials and notes are assembled, consistent with other sessions. The next block was the intended moment to return, with the new paper either in flight or finished. The session closed before the next scheduled discussion.

The tail of the caption is room logistics and a poorly transcribed bilingual aside about what BGIN should call itself, a standards purpose, and US Treasury wording. It is the same fragment that opens the AML slice. It is not stablecoin substance.

Matters not resolved

Whether incumbent card and remittance networks are in stablecoins because they are threatened, because they are curious, or because they are hedging.

Whether traditional markets want T+0 settlement, or profit from delay and will only move so as not to lose the rail.

Whether QR-style crypto payments can dislodge cards in markets that already have cards, given spoofing, acceptance, gas, and cross-chain USDC mismatches.

How much identified illicit volume is actually stablecoins, and how much the 84 percent figure is a lower bound, an upper story, or a mix with bitcoin.

Whether algorithmic stablecoins can ever be credible again, including via AI-managed treasuries, or whether the Terra lesson is permanent.

How the next decade splits between stablecoins and tokenized deposits, and whether bank clearing makes deposits strictly better for treasurers.

Whether the Fed should provide direct reserve accounts or tolerate narrow banks that pass interest through. Opposition was described as real; the objection inside the room was mild.

Whether issuers will fight the yield ban, given that the ban preserves their reserve spread, or whether yield will reappear in tokenized money-market funds, wrappers, and rewards.

Whether GENIUS or MiCA 2.0 is the framework that will actually govern the next few years. The paper was researched when GENIUS looked further along. The workshop treated the US process as stalled.

Which US license is "best." A New York State license was praised and was also left unranked. Federal forum-shopping among OCC, Fed, NCUA, and possibly the SEC was described rather than settled.

Public-sector split inside the MiCA review: Commission more open to relaxing the yield ban and to reading multi-issuance as permitted; central banks and the EBA more restrictive; the ESRB hostile to unsafeguarded multi-issuance; deposit-floor versus liquidity requirements unresolved.

Whether a stricter European yield-and-rewards ban protects unsophisticated users or simply hands the market to banks and large licensees. Both were argued as perspectives, not as a finding.

Whether Kansas City Fed shares (yield-seeking, idle, payments) describe European capital, and whether 10 to 40 percent of balances would leave if yield disappeared.

Whether the UAE or the EU is harder for a firm to navigate. The room's hot take was the UAE, because emirate and federal rules collide, and it was offered as opinion.

Which compliance obligation is actually the most expensive. AML was the anecdotal answer, with an explicit request for quantitative evidence that the room did not have.

How much profit an issuer may earn on reserves before the instrument stops being cheaper than existing payment networks.

The paper's five open questions remained open: yield boundary, bank-versus-native competition under the interest ban, cross-border recognition, run readiness at tens of billions, and issuer-less coins.

Whether the next BGIN paper should be passporting, a common run scenario, geoeconomics, or agent payments. All were left as candidates.

Disposition of the work

The practical stablecoin policy paper is in late draft. The room's estimate was two to three weeks from publication after final comments. The draft's data stop about five months before Block 15 and do not reflect the GENIUS slowdown, the OCC proposal timing discussed in the room, Tether's separate US token, or USDC's designation as a significant e-money token. The workshop therefore used the paper's open questions and spent the substantive half of the hour on MiCA 2.0. No next paper was selected.

The topic stays with the workstream indefinitely, with the next block as the review point once this paper is in flight or out.

Actions

Each action is written so that it can be tracked without the rest of the record. Where the room named only a person, the action is kept and the name is omitted.

Finish comments and publish the current paper. Distribute the overview slides.

Post a Discourse summary with the other session notes once materials are assembled.

Choose among the candidate papers: yield boundary across governments; dual-regime recognition and passporting; a common redemption stress scenario; obligations for issuer-less and synthetically backed coins, including circular reserves; geoeconomic effects; stablecoins as payment rails for agents.

Watch the external clocks stated in the room: Commission report on the MiCA review by 30 June next year, new EU rules no earlier than about 2028, GENIUS effectiveness aimed at 18 January 2027, and an OCC proposal the room hoped might land by the end of October.

If quantitative AML cost data exist, they were requested and not supplied.

Coverage

This record covers the published stablecoin session in Room A at 14:30–16:00. An earlier working timetable had used 14:00–14:45. The published page is followed here. Figures are reported session claims, not independently validated measurements. Technical names are corrected where supported by the recording, chat, or identified primary documentation. Where a name could not be checked against another part of the same recording, it is left unverified rather than guessed. Logistics, introductions, and names of speakers are omitted.

Cues 21000–26400. The slice includes the room opening, the full three-part plan, the market and design overview, the paper, the MiCA 2.0 presentation through the end of the hour, the cost and passporting discussion, and the candidate next topics. The last minutes overlap the AML slice and are mostly logistics plus a badly captioned bilingual aside. Japanese fragments at that boundary are not reliable enough to treat as decisions. Fast spoken statistics are the weakest part of the caption.

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Source clarifications and open checks

Spoken global supply "3.303 billion," against later issuer figures that imply a few hundred billion.

"0.002 percent" of global payments; the caption stuttered the zeros.

"84 percent" as a share of illicit volume, and a separate "about 70 percent" traditional-finance laundering remark. Both were claims in the room, not measurements reproduced here.

USDC "collapsed to 13 percent" during the bank episode.

US-token ticker and performance ("you set" / USAT). The $175 million versus $183 billion comparison was clear; the performance clause was not.

Systemic cap, gilts share, and "up to 95 percent" scaling language.

Mid-September rewards wording tied to Clarity.

Business names behind the European yield examples (an app whitelist, a French euro-cash product, a Comoros rewards card).

"Zip coins" or similar as a payments-product name.

Consultation "closing today" among seven instruments; the instruments were not named in the caption.

Which federal regulator was the forgotten fifth US option.